

EXHIBIT 2

**CAQCC Reg. 3
November 1998 SIP Regulation Part A (EPA Approved)
5 Colo. Code Regs. § 1001-5**

Exhibit 1 - Part 4

DEPARTMENT OF HEALTH

AIR QUALITY CONTROL COMMISSION

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AIR QUALITY
CONTROL COMMISSION

REGULATION No. 3 AIR CONTAMINANT EMISSIONS NOTICES

5 CCR 1001-5

EDITOR'S NOTES*

Authority Cited:
Article 7 of Title 25, C.R.S.

History and Amendments:
Amended 1/12/78, 1 CR 2. Repealed and readopted 12/14/78, 2 CR 1. Pp. 7-8.01 adopted as emergency regulation 6/7/79, 2 CR 7. P. 12 approved 7/12/79, 2 CR 8. Pp. 1-26 repromulgated 6/5/80, effective 7/30/80, 3 CR 7. Pp. 7-8, 25 adopted 5/13/82, effective 6/30/82, 5 CR 6. Pp. 1-52 adopted 3/10/83, effective 4/30/83, 6 CR 4. Pp. 34-60 adopted 2/7/85, effective 3/30/85, 8 CR 3. Pp. 1-61 adopted 3/20/86, effective 4/30/86, 9 CR 4. Pp. 21-22 reissued due to clerical error by Department of Health, 9 CR 7. Pp. 1-58 adopted 3/19/87, effective 4/30/87, 10 CR 4. Pp. 59-63 adopted 11/19/87, effective 12/30/87, 10 CR 12. P. 42 adopted as emergency regulation 6/16/88, effective 6/16/88, 11 CR 7. Pp. 1-74 adopted 8/18/88, effective 9/30/88, 11 CR 9. Pp. 48-49 adopted 9/15/88, effective 10/30/88; p. 48E adopted as emergency regulation 9/20/88, effective 9/20/88, 11 CR 10. P. 49 adopted as emergency regulation 6/1/89, effective 6/1/89; p. 50 adopted as emergency regulation 6/15/89, effective 6/15/89, 12 CR 7. P. 50 adopted as emergency regulation 9/21/89, effective 9/21/89, 12 CR 10. Pp. 1-74 adopted as emergency regulation 1/18/90,

A. G. Opinions:
1 AG 129; 2 AG 15; 2 AG 162; 3 AG 187; 5 AG 150; 6 AG 110-111; 8 AG 52; 9 AG 88; 9 AG 193; 10 AG 101; 10 AG 359; 11 AG 206; 11 AG 271; 11 AG 318-319; 12 AG 215-216;

Annotations:
Colorado-Ute Electric Association v. Air Pollution Control Commission, Colorado Court of Appeals No. 77-662, November 27, 1981, held that the Air Pollution Control Commission did not have statutory authority to issue section II.H.1 of Air Pollution Control Commission Regulation No. 3 (5 CCR 1001-5) governing the issuance of air contaminant emission permits.

*This Title Page does not constitute an official part of any regulation. Information contained on the title page is provided by the Publisher from sources deemed reliable and is solely for informational and historical purposes. See cautionary note in Introductory Materials, How to Use the CCR.

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AIR QUALITY CONTROL COMMISSION

EDITOR'S NOTES (continued)

History and Amendments:

13 CR 2. Pp. 1-78 adopted 5/17/90, effective 6/30/90, 13 CR 6. Pp. 1-75 adopted 10/17/91, effective 11/30/91, 14 CR 11. Pp. 1-36 adopted 8/20/92, effective 9/30/92, 15 CR 9. Pp. 76-93 adopted as emergency regulation 10/15/92, effective 10/15/92, 15 CR 11. Pp. 1-75 adopted 11/19/92, effective 12/30/92, 15 CR 12. Pp. 1-142 adopted 6/22/93, effective 8/30/93, 16 CR 8. Pp. 1-236 adopted 7/15/93, effective 9/30/93, 16 CR 9. Pp. 11-15, 25-31, 62-63, 67-70, 95-97 adopted 2/17/94, effective 4/30/94; p. 48 adopted 3/17/94, effective 4/30/94, 17 CR 4. Pp. 141-142 adopted as emergency regulation 5/19/94, effective 5/23/94, 17 CR 7. Pp. 1-220 adopted 8/18/94, effective 9/30/94, 17 CR 9.

A.G. Opinions:

12 AG 341; 13 AG 51-52; 13 AG 176; 14 AG 360; 15 AG 361-361A; 15 AG 455; 15 AG 508; 16 AG 275; 16 AG 306; 17 AG 140-141; 17 AG 269; 17 AG 348

Annotations:

Rule IV, H.6, adopted 5/17/90, was not extended by H.B. 91-1257 and therefore expired June 1, 1991.



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Part A

**"Concerning general provisions applicable to Construction Permits
and Operating Permits"**

I. APPLICABILITY

- A.** The provisions of this Part A shall apply statewide to all sources of air pollutants except as otherwise provided herein.

All sources of air pollutants that have previously obtained an emissions permit (prior to July 1, 1992) or a construction permit, and are subject only to the Part B Construction Permit Program, may choose to reapply for a new construction permit pursuant to Part B of this Regulation No.3 in order to obtain the operational flexibility provided in Section IV. of this Part A, or to obtain federally-enforceable limitations to limit the source's potential to emit ("synthetic minor"). Sources of air pollutants that are subject only to the Part B Construction Permit Program may voluntarily apply for an Operating Permit pursuant to Part C.

Pursuant to Section 24-4-103 (12.5), C.R.S., materials incorporated by reference are available for public inspection during normal business hours, or copies may be obtained at a reasonable cost, from the Technical Secretary of the Air Quality Control Commission, 4300 Cherry Creek Drive South, Denver, Colorado 80222. Materials incorporated by reference are those editions in existence as of the date this regulation is promulgated or revised by the Air Quality Control Commission and references do not include later amendments to or editions of the incorporated materials.

B. Definitions

1. Actual emissions

Means the actual rate of emission of a pollutant from an emissions unit, determined as follows:

- a.** Actual emissions as of a particular date shall equal the average rate, in tons per year, at which the unit emitted the pollutant during a two-year period which precedes the particular date and is representative of normal unit operation. A different period may be used if it is more representative of normal unit operation. Actual emissions shall be calculated using actual operating hours, production rates, and types of material stored or combusted during the selected time period;



- b. The Division may presume that source-specific allowable emissions for the unit are equivalent to the actual emissions of the unit only if actual emissions cannot be determined pursuant to Paragraph a. above;
- c. For any emissions unit which has not begun normal operations on the particular date, actual emissions shall equal the potential to emit of the unit on that date.

2. Administrator

Means the administrator of the federal environmental protection agency.

3. Adverse Environmental Effect

As a term used in the context of regulating hazardous air pollutants, any significant and widespread adverse effect, which may reasonably be anticipated, to wildlife, aquatic life, or other natural resources, including adverse impacts on populations of endangered or threatened species or significant degradation of environmental quality over broad areas.

4. Affected States

All states whose air quality may be affected by issuance of an operating permit, operating permit modification, or operating permit renewal and that are contiguous to Colorado; and or all states that are within 50 miles of a permitted source.

5. Affected Unit

Means a unit that is subject to any acid rain emissions reduction requirement or acid rain emissions limitation pursuant to title iv of the federal act or regulations promulgated thereunder, at 40 C.F.R. Part 72.

6. Air Pollutant

Means carbon monoxide, nitrogen oxides, sulfur dioxide, pm-10, total suspended particulates, ozone, volatile organic compounds, lead, all pollutants regulated under section 111 of the federal act (Regulation No. 6), all hazardous air pollutants, and all class I and class II ozone depleting compounds as defined and referenced in section 602 of the act.

7. Air Quality Related Value (for purposes of Part B - Construction Permit Program)



the permit is necessary, provided that a written agreement containing a specific date for transfer of permit responsibility, coverage, and liability between the current and new permittee has been submitted to the division;

An administrative permit amendment for purposes of the acid rain portion of a permit shall be governed by regulations promulgated under Title IV of the federal act, found at 40 C.F.R. Part 72.

B. Major Modification (applicable to PSD and Nonattainment NSR program)

Means any physical change in the method of operation of, or addition to a major stationary source that would result in a significant net emissions increase of any air pollutant subject to regulation under the Federal Act or the Act (taking into account all emissions decreases and increases at the source which would accompany the modification).

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- a. Any net emissions increase that is significant for volatile organic compounds shall be considered significant for ozone.

In the Denver metro PM_{10} nonattainment area, any net emission increase that is significant for sulfur dioxide or nitrogen oxides shall be considered significant for PM_{10} .

- b. A physical change or change in the method of operation shall not include routine maintenance, repair, and replacement.
- c. A physical change or change in the method of operation, unless previously limited by any enforceable or federally enforceable permit condition which was established after January 6, 1975, for sources in attainment or unclassifiable areas and December 21, 1976, for sources in nonattainment areas, shall not include:
- (i) Use of an alternative fuel or raw material by reason of an order in effect under Sections 2(a) and (b) of the Federal Energy Supply and Environmental Coordination Act of 1974 (or any superseding legislation), a prohibition under the Power Plant and Industrial Fuel Use Act of 1978 (or any superseding legislation) or by reason of a natural gas curtailment plan in effect pursuant to the Federal Power Act;
 - (ii) Use of an alternative fuel by reason of an order or rule under Section 125 of the Federal Act;



- b. any change that is considered a modification under Title I of the federal act;
- c. any change that requires or changes a case-by-case determination of an emission limitation or other standard;
- d. any change that requires or changes a source-specific determination for temporary sources of ambient impacts;
- e. any change that requires or changes a visibility or increment analysis;
- f. every significant change in existing monitoring permit terms or conditions; and
- g. every relaxation of reporting or recordkeeping permit terms or conditions.
- h. every change that seeks to establish or change a permit term or condition for which there is no corresponding underlying applicable requirement and that the source has assumed to avoid an applicable requirement to which the source would otherwise be subject. Such terms and conditions include:
 - i. a federally enforceable emissions cap assumed to avoid classification as a modification under any provision of Title I; and
 - ii. an alternative emissions limit approved pursuant to regulations promulgated under section 112(l)(5) of the federal act

All significant permit modifications shall be processed using the procedures set forth in Part C of this Commission Regulation No. 3 for combined Construction/Operating Permit issuance. Such source may choose to obtain a construction permit pursuant to Part B and shall subsequently meet the operating permit requirements of Part C.

36. Net Emissions Increase (This definition applies where specifically referenced in other provision of Regulation No. 3, and may also be used for purposes of Section V of this Part A - "Certification and Trading of Emission Reduction Credits")

- a. The amount by which the sum of the following exceeds zero:
 - (i) any increase in the actual emissions from a particular physical change or change in the method of operation at a stationary source; and



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- (ii) any other increases and decreases in actual emissions at the source that are contemporaneous with the particular change and are otherwise creditable.
 - b. Contemporaneous - an increase or decrease in actual emissions is contemporaneous with the increase from the particular change only if it occurs between:
 - (i) the date five years before construction on the particular change commences; and
 - (ii) the date that the increase from the particular change occurs.
 - c. An increase or decrease in actual emissions is creditable only if:
 - (i) the Division has not relied on it in issuing a permit for the source under Regulation No. 3, or EPA has not relied on it in issuing a permit under Part C of the Federal Act, which permit is in effect when the increase in actual emissions from the particular change occurs.
 - (ii) in order to establish a baseline emissions rate, the owner or operator submits an APEN to the Division prior to the increase or decrease indicating actual emissions according to the definition in Regulation No. 3, Part A, Section I.B.1.; and
 - (iii) the owner or operator submits a revised APEN to the Division within one year after making the increase or decrease.
 - d. An increase or decrease in actual emissions of sulfur dioxide, particulate matter, or nitrogen oxides which occurs before the applicable minor source baseline date is creditable only if it is required to be considered in calculating the amount of maximum allowable increases remaining available. With respect to particulate matter, only PM-10 emissions can be used to evaluate the net emissions increase for PM-10.
 - e. An increase in actual emissions is creditable only to the extent that the new level of actual emissions exceeds the old level.
 - f. A decrease in actual emissions is creditable only to the extent that:



40. Operating permit source

Means any source subject to the permitting requirements of Part C of this Regulation No. 3.

41. Owner or Operator

Means any person who owns, leases, operates, controls, or supervises a stationary source.

42. Particulate Matter

Any airborne finely divided solid or liquid material with an aerodynamic diameter smaller than 100 micrometers.

43. Permit Shield (Part C - Operating Permits Only)

Means that where a source operates in compliance with all operating permit terms and conditions, the source shall be deemed in compliance with the State and federal acts where the permit includes all applicable requirements of such acts, specifically states that other identified provisions are not applicable, and states that the permit shield applies. The permit shield does not apply to terms and conditions that become applicable to the source subsequent to permit issuance. The permit shield shall not alter or affect the provisions of Sections 25-7-112 or 25-7-113, C.R.S., Section 303 of the federal act, the applicable requirements of the acid rain program, consistent with Section 408(a) of the federal act, or the ability of the administrator to obtain information from a source pursuant to section 114 of the federal act; nor shall the permit shield affect the liability of an owner or operator of a source for any violation of applicable requirements prior to or at the time of permit issuance.

44. Potential to emit

Means the maximum capacity of a stationary source to emit a pollutant under its physical and operational design. Any physical or operational limitations on the capacity of the source to emit a pollutant, including air pollution control equipment and restrictions on hours of operation or on the type or amount of material combusted, stored, or processed, shall be treated as part of its design if the limitation or the effect it would have on emissions is enforceable and federally enforceable. Secondary emissions do not count in determining the potential to emit of a stationary source.



56. Section 502(b)(10) changes

Means changes that contravene an express permit term. Such changes do not violate applicable requirements or contravene federally enforceable permit terms and conditions that are monitoring (including test methods), recordkeeping, reporting, or compliance certification requirements.

57. Significant

- a. Unless the context otherwise requires, for purposes of the Colorado PSD program and for purposes of section IV.D.2 of Part B (nonattainment requirements) of Regulation No. 3, a significant rate of emissions in tons per year (TPY) is defined as a value that would equal or exceed any of the following:

Carbon monoxide: 100 tpy

Nitrogen oxides: 40 (NO + NO₂) tpy

Sulfur dioxide: 40 tpy

Particulate matter: 25 tpy particulate matter emissions
15 tpy of PM-10 emissions

PM₁₀ Precursors in the Denver metro PM₁₀ nonattainment area: 40 TPY for each individual precursor (Nitrogen oxides or sulfur oxides)

Ozone: 40 tpy of VOC

Lead: 0.6 tpy

Fluorides: 3 tpy

Sulfuric acid mist: 7 tpy

Hydrogen sulfide: 10 tpy

Total reduced sulfur (including H₂S: 10 tpy)

Reduced sulfur compounds (including H₂S: 10 tpy)

Municipal Waste Combustor Organics (measured as total tetra- through octa-chlorinated dibenzo-p-dioxins and dibenzofurans): 3.2 X 10⁻⁶ megagrams per year (3.5 X 10⁻⁶ tons per year)

Municipal Waste Combustor Metals (measured as particulate matter): 14 megagrams per year (15 tons per year)

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November 1998 SIP Regulation Part B (EPA Approved)
5 Colo. Code Regs. § 1001-5

Exhibit 1 - Part 5

Part B

**"Concerning Construction Permits, Including Regulations
for the Prevention of Significant Deterioration (PSD)"**

I. APPLICABILITY

- A. The provisions of this Part B shall apply statewide. All sources which did not commence construction or operation prior to February 1, 1972, are required to have a construction permit except as specified in Section III.

II. (Reserved)

III. - General Requirements for Construction Permits

A. General Considerations

1. Except where specifically authorized by the terms of this Regulation No. 3, Part B, no person shall commence construction of any stationary source or modification of a stationary source without first obtaining or having a valid construction permit from the Division.
2. Any permit which has been issued pursuant to a prior regulation of the Commission, with respect to a project or the operation thereof, shall continue in full force and effect for the purpose for which it was originally issued, unless this current regulation no longer requires such permit, in which case the permit can be rescinded upon request of the owner or operator of the permitted source.
3. Any orders or decisions of the Division shall be final upon issuance, according to Section IV.G.3. of this regulation, Part B.
4. Construction permits for criteria pollutants shall be issued based on the production/process rate requested in the APEN submitted with the permit application. The emission rate associated with the requested production/process rate shall be a permit condition.
5. Construction permits are required for hazardous air pollutants if:
 - a. the source is subject to Colorado MACT or GACT; or
 - b. the source is subject to Federal NESHAPS; or
 - c. the source is subject to Federal MACT or GACT standards.

